

The Rich Report

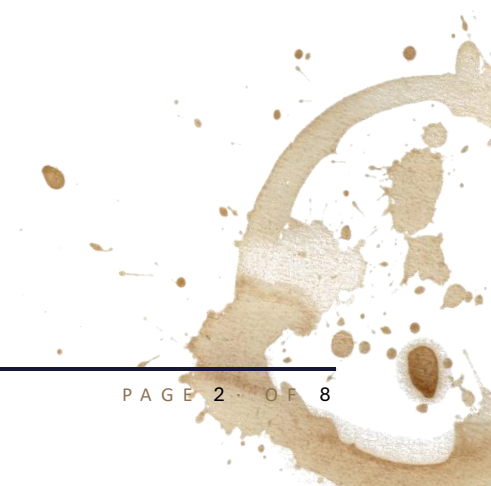
U.S. ECONOMICS NEWS

- ◆ **Equity Pullback:** U.S. stocks fell for the first time in four weeks, with the S&P 500 dropping 1.39% and the NASDAQ 100 down 2.43%, as rising Treasury yields weighed on rate-sensitive sectors like Utilities (-3.49%) and Information Technology (-3.18%); Walmart's slowest comparable sales growth in six years dragged on consumer sentiment, while Health Care (+4.33%) surged on Moderna's 130% weekly gain after positive mRNA cancer vaccine trial results.³
- ◆ **Bond Market Stress:** Long-end Treasury yields hit their highest levels since 2007, with the 30-year T-Bond reaching 5.27%, driven by the national debt crossing \$40 trillion, heavy AI-related debt issuance, and fiscal concerns; Treasury Secretary Bessent's announcement of doubled buybacks of 10- and 30-year debt provided only temporary relief, leaving the yield curve reflecting structural fiscal pressure rather than shifting Fed rate expectations.³
- ◆ **Housing Collapse:** July housing starts plunged 12.4% to a 1.239 million annual rate — missing even the most pessimistic Bloomberg forecast — and sit 13.5% below year-ago levels, extending a downturn dating to March 2022; 30-year mortgage rates near 6.8%, up roughly 70 basis points since February amid Iran conflict-driven energy inflation, compound affordability pressures alongside tariffs and labor shortages, pushing the NAHB sentiment index to 35 for a 28th consecutive sub-50 reading.³
- ◆ **Industrial Resilience:** July industrial production rose 0.2%, with broad-based gains across manufacturing, mining, and utilities; high-tech equipment output jumped 1.9% for the month and 11.8% year-over-year — the fastest annual rate of any major series — surging at a 29% annualized pace over three months, driven by AI infrastructure investment and semiconductor reshoring, while business equipment manufacturing rose 0.8%, signaling wider reindustrialization momentum.³
- ◆ **Grid Gap:** U.S. electricity demand forecasts for 2030 have been revised up 29.8% since 2022, from 4,413 TWh to 5,729 TWh, driven by data centers, EV adoption, and reshoring; meanwhile, China added 543 gigawatts of new generation capacity in 2025 alone — ten times the U.S.'s 52 gigawatts — and of 231 GW of planned U.S. additions through 2030, over 28% is battery storage, which provides only 2–4 hours of output and cannot substitute for dispatchable generation capacity.³

The Rich Report

DIGITAL ASSETS NEWS

- ◆ **Short Squeeze:** As crypto markets surged, bearish traders holding over \$3 billion in short positions were forced into rapid, involuntary liquidations — a cascade triggered when rising prices hit margin thresholds. BTC and ETH futures bore the brunt, with a single day recording \$620M+ in forced closures. Each liquidation intensified buying pressure, accelerating the very rally that trapped short sellers.⁵
- ◆ **BTC ETF Inflows:** Spot Bitcoin ETFs recorded \$1.92 billion in weekly net inflows for the period ending August 21 — the strongest weekly figure since October 2025 — signaling renewed institutional conviction in Bitcoin as a portfolio asset. The surge reflects growing demand from wealth managers and hedge funds amid a broader crypto market recovery, underscoring how ETF vehicles have become the dominant gateway for regulated capital entering the space.⁵
- ◆ **SEC Regulation Crypto:** On August 18, the U.S. Securities and Exchange Commission released its first-ever formal crypto rulemaking — "Regulation Crypto" — a sweeping proposal outlining how digital asset companies can legally raise capital through token offerings. The framework aims to bring crypto fundraising under established securities law, offering firms a clearer compliance pathway while extending investor protections traditionally applied to conventional capital markets.⁵



The Rich Report

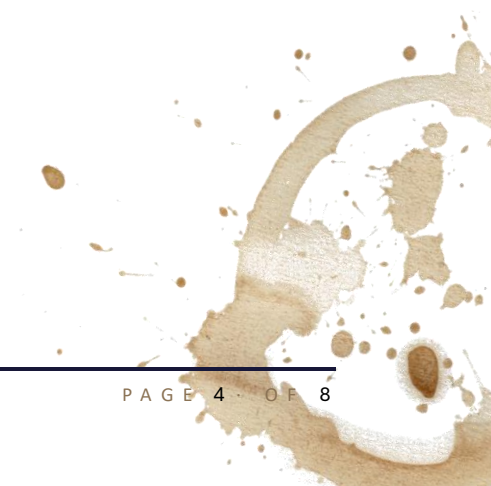
GEOPOLITICS NEWS

- ◆ **Canada:** Trump announced a three-day pause on threatened 50% tariffs after calling Canada close to a deal, but PM Carney cautioned that "important work remains," emphasizing Canada's intent to build a more independent economy regardless of outcomes.¹
- ◆ **China:** July economic data showed broad weakness — retail sales grew just 0.6% year-on-year, fixed-asset investment fell 6.7%, and property investment dropped 19% — while exports surged 24%. Evergrande founder Hui Ka Yan was sentenced to life in prison for large-scale financial fraud between 2016 and 2021.¹
- ◆ **Israel:** Israeli airstrikes hit Syria's Abu al-Duhur airbase near the Turkish border, drawing US concern about "unnecessary escalation" and prompting Washington to work on a deconfliction mechanism among Israel, Turkey, and Syria. Gaza ceasefire talks with Kushner made little progress, with disagreement over sequencing IDF withdrawal against Hamas demilitarization.¹
- ◆ **Russia:** Russia launched a ballistic missile strike on Kyiv killing at least 15 and wounding 40, bypassing its previous drone-first tactic as Ukrainian air defenses thin. Russia and Ukraine remain locked in escalating long-range aerial exchanges with little front-line movement. A second Ukrainian suspect in the 2022 Nord Stream pipeline sabotage was arrested in Croatia and will be extradited to Germany.¹
- ◆ **Samsung/Chips:** Samsung raised foundry prices by up to 15% amid a demand surge, particularly from Chinese customers locked out of advanced chipmaking equipment by US export controls. Samsung holds just 7% of global foundry revenue versus TSMC's 70%-plus, but expects advanced processes to exceed half its foundry revenue this year.¹
- ◆ **United Arab Emirates:** The UAE suspended all financial and economic transactions with Iran after renewed ballistic missile strikes triggered nationwide shelter warnings — a significant blow to Tehran, which relied heavily on the UAE as a re-export hub and sanctions evasion gateway. The US had been pressing the UAE for weeks to cut Iran's financial lifelines.¹
- ◆ **United States:** Trump ordered a substantial reduction of Ulchi Freedom Shield drills with South Korea, citing good relations with Kim Jong Un and Seoul's refusal to support the Iran war. The USS Benfold destroyer lost all power for four days in the South China Sea in July, with the Navy declining to explain why the incident wasn't disclosed. Erik Prince launched Vectus Air Defense Systems, partnering with Ukrainian drone-software firm Swarmer. Trump threatened "economic warfare on an unprecedented scale" against any country providing Iran a financial lifeline, following the UAE sanctions announcement.¹

The Rich Report

THE GOOD NEWS

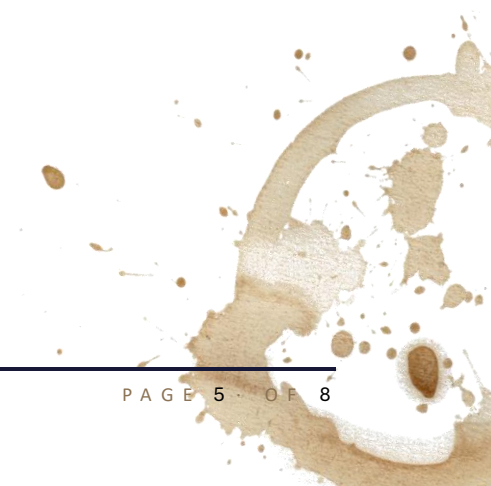
- ◆ **Melanoma Vaccine:** A late-stage trial of 1,137 patients found that intismeran, a personalized mRNA cancer vaccine, significantly reduced recurrence in high-risk melanoma patients post-surgery. Created by sequencing each patient's tumor to identify immune-activating neoantigens, the vaccine is produced in about six weeks — combining mRNA's speed with precision oncology to deliver individualized treatment at scale.²
- ◆ **Crime Plummets:** U.S. violent crime fell 9.7% last year, the steepest single-year drop since FBI records began in 1936. Murder dropped 18.1%, robbery 18.5%, and the overall murder rate hit 4.1 per 100,000 — matching its lowest point since the 1950s. Property crime also fell 12.4%, with motor vehicle theft down nearly 23%.²
- ◆ **Robotic Phlebotomy:** The FDA authorized the Aletta, the first autonomous robotic blood-draw device, which uses near-infrared light and Doppler ultrasound to locate veins and independently handles every step from tourniquet to bandage. One trained phlebotomist can oversee three units simultaneously — a meaningful efficiency gain amid a national phlebotomist shortage.²



The Rich Report

DIVIDEND PORTFOLIO NEWS

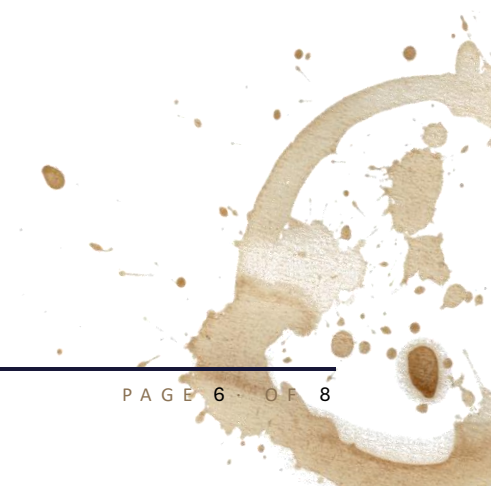
- ◆ **ABT:** Reached a \$670M settlement covering some NEC infant formula claims, limiting but not fully resolving ongoing litigation exposure. A new FDA commissioner nominee (Heidi Overton) could shift the regulatory environment for Abbott's diagnostics and medical device businesses.⁴
- ◆ **ADI:** Q3 FY2026 results beat across the board — non-GAAP EPS of \$3.45 (+\$0.11 beat), revenue of \$4.02B (+\$90M beat). Q4 guidance set at \$4.3B revenue and \$3.86 EPS. Bernstein upgraded to Outperform post-results. Declared \$1.10 quarterly dividend. BMO also initiated with a bullish view.⁴
- ◆ **DGX:** FDA cleared a blood-based Alzheimer's diagnostic test developed by Roche and Eli Lilly, expanding the market for lab-based diagnostics and potentially increasing demand for Quest's testing infrastructure.⁴
- ◆ **LMT:** Sikorsky named its first EU Black Hawk parts distributor, expanding European MRO presence. ULA (Boeing/Lockheed JV) sealed a \$1.5B bond deal. A Saildrone missile-armed drone vessel test with the Navy highlights Lockheed's unmanned systems push. China's new hypersonic weapons represent a potential threat to U.S. aircraft Lockheed produces.⁴
- ◆ **STLD:** Shares surged on the S&P leaderboard amid escalating U.S.-Canada trade tensions; a tentative deal to cut Canadian steel and aluminum tariffs by half could reduce a competitive headwind for domestic producers like Steel Dynamics.⁴
- ◆ **SYK:** Stryker's medical unit won a \$100M defense contract option for patient monitoring equipment, reinforcing its position in military and government healthcare procurement.⁴



The Rich Report

GROWTH PORTFOLIO NEWS

- ◆ **AEM:** Agnico Eagle is acquiring a \$41M stake in Radisson Mining, expanding its project pipeline. Gold's surge to multi-month highs provides a favorable macro backdrop for the miner.⁴
- ◆ **ATAT:** Atour Lifestyle beat Q2 estimates with EPS of \$0.60 (in-line) and revenue of \$514M (beat by ~\$29M), while updating its FY26 outlook.⁴
- ◆ **CVX:** Equinor acquired a stake in Chevron's Namibia exploration license. Separately, Venezuela's oil export capacity is constrained by port bottlenecks, limiting upside from production gains in a key Chevron operating region.⁴
- ◆ **KEYS:** Strong Q3 beat — Non-GAAP EPS of \$3.07 beat by \$0.59, revenue of \$1.85B beat by ~\$100M. Raised FY26 outlook with Q4 guidance of \$1.93B–\$1.95B. Management flagged supply chain constraints, though analysts remain bullish on the test-and-measurement recovery.⁴
- ◆ **MRVL:** Marvell surged on a landmark Google chip deal — issuing warrants to the search giant — which analysts widely called a "significant positive" signaling custom silicon momentum. Wedbush and GF Securities highlighted deepening hyperscaler ties as likely to prompt a guidance raise.⁴
- ◆ **TOL:** Q3 earnings beat with EPS of \$2.97 (+\$0.03) and revenue of \$2.65B (+\$30M). Management reaffirmed ~\$10.5B FY26 revenue guidance with 8–10% community count growth and projected \$700M in buybacks.⁴
- ◆ **YMM:** Full Truck Alliance beat Q2 estimates on both top and bottom lines, provided Q3 guidance, declared a \$0.084 dividend, and highlighted 94.7% commission penetration with fulfillment rates reaching 47%.⁴



The Rich Report

SUMMARY

In regard to the United States Economy, markets faced multiple headwinds this week. The S&P 500 fell 1.39% as rising Treasury yields — with the 30-year hitting 5.27%, the highest since 2007 — pressured rate-sensitive sectors. Housing starts plunged 12.4%, extending a downturn now well into its third year. On a brighter note, industrial production held firm, with high-tech equipment output surging 11.8% year-over-year, underscoring AI-driven reindustrialization momentum amid broader fiscal stress.

In the world of digital assets, sentiment shifted decisively bullish. A wave of short liquidations exceeding \$3 billion forced bearish traders to cover rapidly, amplifying an already strengthening rally. Spot Bitcoin ETFs recorded \$1.92 billion in weekly net inflows — the strongest since October — reflecting growing institutional conviction. Simultaneously, the SEC released its first formal crypto rulemaking, offering digital asset firms a clearer compliance pathway for token offerings under established securities law.

Recently around the globe, geopolitical tensions remained elevated across multiple fronts. Russia launched a deadly ballistic missile strike on Kyiv, while Israel conducted airstrikes into Syria near the Turkish border. The UAE suspended all financial dealings with Iran, dealing a significant blow to Tehran's sanctions-evasion networks. Canada narrowly avoided steep U.S. tariffs, and China posted weak domestic data despite a 24% export surge, highlighting persistent internal demand fragility.

For the good news, there were meaningful advances in medicine and public safety. A late-stage trial confirmed that a personalized mRNA cancer vaccine significantly reduced melanoma recurrence in high-risk patients. U.S. violent crime fell 9.7% last year — the steepest single-year decline since FBI records began in 1936 — with murder dropping 18.1%. The FDA also authorized the first autonomous robotic blood-draw device, addressing a growing national phlebotomist shortage efficiently.

In the news for the dividend portfolio, several holdings saw meaningful developments. Analog Devices delivered a strong earnings beat and raised forward guidance, earning an analyst upgrade. Stryker secured a \$100 million defense contract for patient monitoring equipment. Steel Dynamics surged amid U.S.-Canada trade tensions, with a potential tariff reduction offering a tailwind for domestic steel producers. Abbott reached a \$670 million NEC litigation settlement, partially clearing a key legal overhang.

And, for the growth portfolio, the week centered on technology earnings and momentum. Nvidia remained in focus ahead of earnings, with analysts expecting a significant revenue beat driven by supply constraints. Marvell surged after announcing a custom chip deal with Google, signaling deepening hyperscaler relationships. Keysight delivered a strong quarterly beat and raised full-year guidance. Toll Brothers reaffirmed its \$10.5 billion revenue outlook despite housing affordability headwinds, demonstrating solid operational resilience.

The Rich Report

RESOURCES

- ◆ Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
- ◆ <https://newsletter.humanprogress.org/>
- ◆ Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
- ◆ <https://seekingalpha.com/>
- ◆ <https://www.coindesk.com/latest-crypto-news>

IMPORTANT INFORMATION

Paradiem, LLC is a Registered Investment Advisor. This material is provided solely for informational and educational purposes and should not be construed as personalized investment, legal, or tax advice, or as an offer to buy or sell any security. Advisory services are provided only pursuant to a written agreement. The opinions expressed reflect Paradiem's views as of the date of publication and are subject to change without notice based on market or other conditions. Forward-looking statements, forecasts, and expectations are inherently uncertain and are not guarantees of future results. References to specific securities, industries, or sectors are provided solely to illustrate our investment research and portfolio management process. They should not be considered recommendations to purchase, sell, or hold any security. Current holdings and portfolio allocations may change at any time without notice and may differ from those discussed herein. The securities discussed do not represent all securities purchased, sold, or recommended for client accounts. A complete list of recommendations made during the preceding twelve months is available upon request. Investing involves risk, including the possible loss of principal. Diversification and asset allocation do not ensure a profit or protect against loss. Past performance is not indicative of future results. While information contained herein is believed to be reliable, Paradiem makes no representation as to its accuracy or completeness. Investors should consult their financial, legal, and tax professionals before making any investment decisions.